

STAFF REPORT

DATE: September 20, 2022

TO: City Council

FROM: Kelly Stachowicz, Assistant City Manager
Elena Adair, Finance Director
Sherri Metzker, Community Development Director

SUBJECT: Development Impact Fee Annual AB1600 Report

Recommendation

Receive the enclosed Annual Development Impact Fee Report which has been prepared for the public and City Council review, *pursuant to the requirements of Government Code Section 66006(b) and Government Code Section 66001(d), as amended by Assembly Bill (AB) 518 and Senate Bill 1693, this Development Impact Fee Report for the City of Davis is being filed according for the fiscal year ending June 30, 2021.*

Fiscal Impact

This report is provided for informational purposes, and therefore there has no direct fiscal impact. The AB1600 report is a compliance document, require by the State of California and is not a budgetary document.

Council Goal(s)

This item relates to Council Goals

- 2. Ensure Fiscal and Economic Stability
- 4. Fund, Maintain and Improve Infrastructure
- 6. Foster Excellence in City Services

Development Impact Accounts – Interest Earned and Fund Balance

During fiscal year 2020/21, the City collected \$483,383 in development impact fees, while expending \$ 3,444,031 on projects.

	<i>Fund Balances \$17,295,049</i>
<i>Roadways</i>	\$5,296,652
<i>Parks</i>	\$5,655,450
<i>Public Safety Facilities</i>	\$3,127,473
<i>Open Space (1)</i>	\$1,728,361
<i>General Facilities</i>	\$1,487,112
<i>Totals</i>	\$ 17,295,049

Note: (1) The development Impact fees for Open Space are separate and distinct from the Open Space Protection Tax (Measure O)

Interest earned by fund is as follows and has been included in fund balances.

- Roadways (Fund 485) had interest earning of \$28,313, year-end fund balance \$5,296,652.
- Park (Fund 483) had interest earning of \$27,483, year-end fund balance \$5,655,450.
- Public Safety (Fund 484) had interest earning of \$14,276, year-end fund balance \$3,127,473.
- General Facilities (Fund 481) had interest earning of \$8,549, year-end fund balance \$1,487,112.
- Open Space (Fund 482) had interest earning of \$8,202, year-end fund balance \$1,728,361.

Background and Analysis

Development impact fees are charged by local governmental agencies in connection with approved development projects. The purpose of these fees is to defray all or a portion of the cost of public facilities related to the impacts from development projects, thereby implementing the project's "fair share" of the cost of the Capital Improvements Projects (CIP), consistent with the general plan. The legal requirement for enactment of a development impact fee program is set forth in Government Code Sections 66000-66025 (the "Mitigation Fee Act"), the bulk of which was adopted in 1987 as AB 1600.

In the City of Davis, development impact fees are collected at either building permit or if by way of agreement, at the time of certificate of occupancy for the purpose of mitigation of the impacts caused by new development on the City's infrastructure. Fees may only be used to finance acquisition, construction and improvement of public facilities needed as a result of new development.

Development Impact Fees are based on the premise that new development should pay the cost associated with growth. Conversely, the existing residents should only bear the cost of improving existing services, which may include expanded services that serve the existing community. Development impact fees can be used for expansion, facility upgrades or additions necessary to help accommodate growth. Funds cannot be used to finance operations, maintenance or current deficiencies. For example, roadway impact fees may be utilized to improve an intersection to better handle increased traffic from new development, but cannot be utilized for re-paving because of general wear and tear.

For many years, the City has approximated the share of impacts that are associated with new development when the improvement or category includes both impacts of new development and needs of the existing development in the City. This is based on the relative size population residing in the City in 1987 and the growth of new development from the General Plans from the 1987 General Plan through build out. Improvements that are needed solely because of new development are generally paid for by new development.

A separate fund has been established to account for the impact of new development on each of the following type of public facilities:

- Roadway
- Parks
- Public Safety Facilities
- General Facilities
- Open Space

Fees imposed on new development within the City have been in place since 1990 with periodic updates. Water, storm water and sewer connection charges, which have similar characteristics to development impact fees, have different procedural and reporting requirements.

As indicated in the City's CIP, many other revenue sources are used in constructing or acquiring capital assets, including Federal and State grants, and City construction tax. A complete picture of the City's capital financing activity by fund will be shown in the City's Annual Budget.

Annual Report

State law requires any local agency that imposes development impact fees to prepare an annual report providing specific information about those fees. A brief description of the type of fee in the account, the amount of the fee, the beginning and ending balance

of the account and the amount of the fees collected and the interest earned. Therefore, in accordance with the provision of the California Government Code Section 66006 (b) and 66001 (d), as amended by Assembly Bill (AB) 518 and Senate Bill 1693, this Development Impact Fee Report for the City of Davis is being filed with the City Council for the fiscal year ending June 30, 2021.

City of Davis
Financial Summary Report
Statement of Revenues, Expenditures and Changes in Fund Balance
For the year Ended June 30, 2021

Development Impact Fees

Description	Roadways Fund 485	Parks Fund 483	Public Safety Facilities Fund 484	General Facilities Fund 481	Open Space Fund 482
REVENUES					
Fees	\$ 242,231	\$ 121,247	\$ 34,715	\$ 65,178	\$ 20,012
Interest	28,313	27,483	14,276	8,549	8,202
Other Revenue					
Total Revenues	<u>\$ 270,544</u>	<u>\$ 148,730</u>	<u>\$ 48,991</u>	<u>\$ 73,727</u>	<u>\$ 28,214</u>
EXPENDITURES					
Expenditures	<u>2,865,314</u>	<u>233,009</u>	<u>199,977</u>	<u>105,876</u>	<u>39,855</u>
Total Expenditures	<u>\$ 2,865,314</u>	<u>\$ 233,009</u>	<u>\$ 199,977</u>	<u>\$ 105,876</u>	<u>\$ 39,855</u>
REVENUES OVER (UNDER) EXPENDITURES	\$ (2,594,770)	\$ (84,279)	\$ (150,986)	\$ (32,149)	\$ (11,640)
Fund Balance, Beginning of Year	<u>7,891,422</u>	<u>5,739,729</u>	<u>3,278,459</u>	<u>1,519,262</u>	<u>1,740,001</u>
Fund Balance, End of Year	<u><u>\$ 5,296,652</u></u>	<u><u>\$ 5,655,450</u></u>	<u><u>\$ 3,127,473</u></u>	<u><u>\$ 1,487,112</u></u>	<u><u>\$ 1,728,361</u></u>

Note:

Revenue is based on first in, first out method

Balances reflected on the Financial Summary are only development impact fee revenues and expenditures only.

Description of Development Impact fees

Roadways – To provide for traffic improvements necessary to address the increase in traffic generated by new development as specified in the City's General Plan and Capital Improvement Plan

Parks – The acquisition and development of parks as specified in the City's Parks Master Plan and Capital Improvement Plan.

Public Safety – To provide for the expansion, design and construction of Public Safety facilities as related to new development as specified in the City's General Plan and Capital Improvement Plan

General Facilities - To provide for the expansion, design and construction of General facilities as related to new development as specified in the City's General Plan and Capital Improvement Plan

Open Space – To provide acquisitions and development related to the Open Space program and Capital Improvement Plan (separate from the Measure O Open Space Tax)

Current Fee schedule

The Development Impact Fee program current fee structure (see attachment 2) was adopted on December 9, 2008 with an effective date of February 15, 2009. The cost of the improvements in the CIP is offset by the Development Impact Fees. The establishment and use of development impact fees are strictly controlled under AB 1600. Development impact fees must be used only for infrastructure that has a direct relationship to the impacts of new development. For additional information about development impact fees the link below provides a summary primer on the legal aspects of setting and use of Impact Fees.

[Development Impact Fees Overview](#)

The outcomes of the Downtown Davis Specific Plan will also be critical to the Development Impact Fee update. Development Impact Fees are fundamentally tied to infrastructure needs associated with community growth. The General Plan update will inform the city on those infrastructure needs and will determine the commensurate fee. Additionally, individual projects seeking General Plan Amendments prior to the next Development Impact Fee update may warrant consideration of supplemental fees on a case-by-case basis to account for potential impacts not previously accounted for in the current development impact fee model.

Development Impact Fee Project Identification

The Development Impact Fee Project Identification table illustrates the following reporting requirements defined by California Government Codes Section 66006 (b):

- An identification of each public improvement on which fees were expended and the amount of expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.
- An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement.

Project Number	Current Projects	Project Phase	Estimated Start Date	Estimated Completion Date	Project Budget	Development Impact Fund Expenditure Amounts for Fiscal Year 2020-21 as of June 30, 2021	Project Expenditures for all Funds as of June 30, 2021	Estimated % of Project Funded With Impact Fees
Roadways		Fund 485						
7252	Street Repair and Maintenance			On going		\$8,046	1,399,787	0.57% (1)
7258	Traffic Signals			On going		167	419,185	0.04% (1)
7259	Sidewalk, Curb and Gutter Maintenance			On going		1,738	10,456	16.62% (1)
8110	Capital Improvement Administration			On going		137,045	1,360,845	10% (1)
8250	Transportation Infrastructure Rehab	Construction	2013	On going	59,961,358	1,734,516	5,433,785	32%
8251	H Street Davis Little League	Construction	2018	2025	4,114,709	1,701	26,611	6%
8257	Mace Improvements	Construction	2014	2024	5,838,813	116,690	287,926	41%
8258	Bicycle and Pedestrian Wayfinding & Data Collection	Completed	2016	2021	207,512	2,156	90,897	2%
8270	Covell and L Street Intersection Improvements	Completed	2015	2020	1,693,881	119	119	100%
8282	Fourteenth Street/Villanova Drive Improvements	Design	2018	2025	2,533,564	4,880	5,608	87%
8286	Russell Bicycle Path	Completed	2019	2021	1,968,538	500,000	1,352,744	37%
8288	Cannery Grade Crossing	Completed	2016	2020	4,952,000	18,430	18,455	100%
8289	East Covell Bicycle Path North Side	Planning	2021	2025	1,082,715	56,420	62,205	91%
8298	Anderson Road Improvements	Planning	2018	2025	4,315,703	78	78	100%
8313	Pole Line Road -Olive Drive Connections	Closeout	2017	2022	6,752,810	168,814	4,493,883	4%
8730	Richard Blvd./I-80 Improvements	Design	2015	undetermined	12,800,000	114,512	114,536	100%
Total Roadways Projects						\$2,865,314		
Parks		Fund 483						
4475	Park and Facility Planning and development			On going		35,200	83,065	42.38% (1)
7901	Facilities Management			On going		619	1,450,734	0.04% (1)
8110	Capital Improvement Administration			On going		35,409	1,360,845	2.60% (1)
8295	Rose creek Park Greenbelt Enhancement	Design	2018	2020	285,000	2,734	22,605	12.09%
8315	Sports Courts	Design	2020	2023	2,467,290	18,376	25,359	72.46%
8336	GIS Master Plan	Design	2020	2022	300,000	1,886	1,886	100.00%
8337	Park Amenity and Playground Replacements (Major)	Construction	2018	2021	549,546	107,117	252,171	42.48%
8338	Park Amenity and Playground Replacements (Minor)		2020	2023	280,000	29,903	87,355	34.23%
8339	Parks Facilities - Rehabilitation and Replacements (Major)		2021	2024	815,000	1,764	29,119	6.06%
Total Parks Projects						233,008.81		
General Facilities		Fund 481						
2815	Parcel Accounting			On going		132	669,212	0.02% (1)
3282	General Plan Update and Review			On going		1,392	394,217	0.35% (1)
3297	Zoning Ordinance			On going		11,685	40,653	29% (1)
8110	Capital Improvement Administration			On going		19,679	1,360,845	1.45% (1)
8512	Public Works Facility			On going	375,000	72,988	72,988	100.0%
Total General Facilities Projects						\$105,876.43		
Open Space		Fund 482						
3255	North Davis Upland	Completed			-	39,475	53,667	73.56%
8110	Capital Improvement Administration			On going		380	1,360,845	0.03%
Total Open Space Projects						\$39,854.69		
Public Safety		Fund 484						
5610	Police Administration (Safety Equipment)	Completed				199,061	3,461,454	5.75% (1)

8110 Capital Improvement Administration
 Total Public Safety Projects
 Total Expenditures

On going

916
\$199,977
\$3,444,031

1,360,845

0.07%

Notes:

(1) Non CIP projects reflect the actual expenditures for Fiscal Year 2020/21 and the percentage of the total budgeted program

All of the current projects including all funding sources and approximate dates of funding can be found in the 2020/21 CIP budget as part of the City's [Adopted 2020-2021 budget](#).

Compliance

The City Council at a public meeting has reviewed the following information pursuant to California Government Code Section 66006(b)(1), as is required by California Government Code Section 66006(b)(2), including:

- A brief description of the type of fee in the account or fund;
- The amount of the fee;
- The beginning and ending balance of the account or fund;
- The amount of fees collected and the interest earned;
- An identification of each public improvement on which fees were expended and the amount of the expenditure on each improvement, including the total percentage of the cost of the public improvement that was funded with fees;
- An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in Section 66001(a) (2), and the public improvement remains incomplete.

The City Council at a public meeting has reviewed the proposed findings, as required by California Government Code Section 66001(d) (1), including:

- Identify the purpose to which the fee is to be put;
- Demonstrate a reasonable relationship between the fee and the purpose for which it is charged;
- Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements;

Attachments

1. Development Impact Fees Rates

Development Impact Fee Summary

Development Impact Fee Summary - Base Fees Payable Outside of City Wide Mello-Roos Districts

Land Use	Units	Roadways	Storm Sewer	Parks	Open Space	Public Safety	General Facilities
Single Family Detached	dwelling	\$8,093	\$305	\$5,014	\$863	\$992	\$2,389
Single Family Attached	dwelling	\$6,023	\$305	\$4,145	\$714	\$820	\$1,975
Studio/One Bedroom	dwelling	\$3,047	\$85	\$3,277	\$564	\$700	\$1,249
Multi-family	dwelling	\$4,942	\$85	\$3,827	\$659	\$757	\$1,823
Core/AC Retail	1,000 sf	\$8,448	\$118	\$730	\$126	\$1,078	\$928
Auto Sales (AC)	1,000 sf	\$4,236	\$118	\$730	\$126	\$1,078	\$928
Other Retail ⁽⁴⁾	1,000 sf	\$20,239	\$118	\$730	\$126	\$1,078	\$928
Office/Business Park	1,000 sf	\$5,192	\$118	\$730	\$126	\$1,078	\$928
Institutional	1,000 sf	\$4,048	\$118	\$730	\$126	\$1,078	\$928
Industrial	1,000 sf	\$480	\$118	\$190	\$33	\$280	\$241

Development that is outside the scope anticipated in the General Plan may trigger a site specific review of impact fee levels.

East Davis Development Impact Fees After Mello-Roos Credits (CFD 1990-1)

Land Use	Units	Roadways	Storm Sewer	Parks	Open Space	Public Safety	General Facilities
Single Family Detached	dwelling	7,315	305	5,014	863	515	2,112
Single Family Attached	dwelling	5,444	305	4,145	714	494	1,786
Studio/One Bedroom	dwelling	2,754	85	3,277	564	399	1,088
Multi-family	dwelling	4,467	85	3,827	659	479	1,662
Core/AC Retail	1,000 sf	7,635	118	730	126	515	811
Auto Sales (AC)	1,000 sf	3,829	118	730	126	515	811
Other Retail	1,000 sf	18,292	118	730	126	515	811
Office/Business Park	1,000 sf	4,692	118	730	126	515	811
Institutional	1,000 sf	3,658	118	730	126	515	811
Industrial	1,000 sf	434	118	190	33	242	233

East Davis/Mace Development Impact Fees After Mello-Roos Credits (CFD 1990-2)

Land Use	Units	Roadways	Storm Sewer	Parks	Open Space	Public Safety	General Facilities
Single Family Detached	dwelling	6,825	305	5,014	863	773	2,143
Single Family Attached	dwelling	5,079	305	4,145	714	671	1,807
Studio/One Bedroom	dwelling	2,570	85	3,277	564	562	1,106
Multi-family	dwelling	4,167	85	3,827	659	630	1,680
Core/AC Retail	1,000 sf	7,124	118	730	126	820	824
Auto Sales (AC)	1,000 sf	3,572	118	730	126	820	824
Other Retail	1,000 sf	17,067	118	730	126	820	824
Office/Business Park	1,000 sf	4,378	118	730	126	820	824
Institutional	1,000 sf	3,413	118	730	126	820	824
Industrial	1,000 sf	405	118	190	33	263	234

Development Impact Fee Summary

North Central Davis Development Impact Fees After Mello-Roos Credits (CFD 1990-3)

Land Use	Units	Roadways	Storm Sewer	Parks	Open Space	Public Safety	General Facilities
Single Family Detached	dwelling	6,398	305	5,014	863	176	2,122
Single Family Attached	dwelling	4,761	305	4,145	714	263	1,793
Studio/One Bedroom	dwelling	2,409	85	3,277	564	186	1,094
Multi-family	dwelling	3,906	85	3,827	659	282	1,668
Core/AC Retail	1,000 sf	6,678	118	730	126	114	815
Auto Sales (AC)	1,000 sf	3,349	118	730	126	114	815
Other Retail	1,000 sf	15,998	118	730	126	114	815
Office/Business Park	1,000 sf	4,104	118	730	126	114	815
Institutional	1,000 sf	3,200	118	730	126	114	815
Industrial	1,000 sf	380	118	190	33	215	234

South Davis Development Impact Fees After Mello-Roos Credits (CFD 1990-4)

Land Use	Units	Roadways	Storm Sewer	Parks	Open Space	Public Safety	General Facilities
Single Family Detached	dwelling	6,980	305	5,014	863	869	2,228
Single Family Attached	dwelling	5,195	305	4,145	714	736	1,865
Studio/One Bedroom	dwelling	2,628	85	3,277	564	622	1,156
Multi-family	dwelling	4,262	85	3,827	659	685	1,730
Core/AC Retail	1,000 sf	7,286	118	730	126	933	860
Auto Sales (AC)	1,000 sf	3,654	118	730	126	933	860
Other Retail	1,000 sf	17,456	118	730	126	933	860
Office/Business Park	1,000 sf	4,478	118	730	126	933	860
Institutional	1,000 sf	3,491	118	730	126	933	860
Industrial	1,000 sf	414	118	190	33	271	237

West Davis Development Impact Fees After Mello-Roos Credits (CFD 1990-5)

Land Use	Units	Roadways	Storm Sewer	Parks	Open Space	Public Safety	General Facilities
Single Family Detached	dwelling	8,093	305	5,014	863	460	2,215
Single Family Attached	dwelling	6,023	305	4,145	714	456	1,857
Studio/One Bedroom	dwelling	3,047	85	3,277	564	364	1,148
Multi-family	dwelling	4,942	85	3,827	659	447	1,722
Core/AC Retail	1,000 sf	8,448	118	730	126	449	854
Auto Sales (AC)	1,000 sf	4,236	118	730	126	449	854
Other Retail	1,000 sf	20,239	118	730	126	449	854
Office/Business Park	1,000 sf	5,192	118	730	126	449	854
Institutional	1,000 sf	4,048	118	730	126	449	854
Industrial	1,000 sf	480	118	190	33	238	236